

Mark Scheme

Q1.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 1, Analysis 3 Knowledge/Understanding: 1 mark for: Understanding or definition of a concentration ratio (1) Application: 1 mark for reason e.g. Change in shopping habits which has led to consumers shopping more frequently in discount stores/online shopping from other retailers (1) OR The smaller discount stores such as Aldi and Lidl have increased their market share (1) Analysis: Award further marks for linked developments e.g. because Aldi and Lidl focus on low prices so their sales have risen faster than those of the big four (1) more convenient to shop at local stores (1) The four firm concentration ratio has decreased by 3.6 percentage points (2) OR Calculation of the four firm concentration ratio in 2010 ($30.8 + 17.6 + 16.1 + 11.6 = 76.1\%$) (1) Calculation of the four firm concentration ratio in 2015 ($28.6 + 16.5 + 16.5 + 10.9 = 72.5\%$) (1)	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 4 • Definition of monopsony • Food prices likely to fall Effects on food suppliers might include: • Financial problems from delays in receiving payments from supermarkets (Extract A) • Lower prices mean a reduction in revenue and profits • Increased costs due to paying excessive amounts for packaging and promotions. • Losses may even be made • Pressure on suppliers to cut costs • Fall in employment • Some food suppliers may exit the industry • Less funds for investment • Risk that suppliers will reduce product quality • Figure 2 indicates some supermarkets abused their market power e.g. Tesco and Morrisons. Effects on consumers might include: • Lower prices mean higher consumer surplus • Impact on food waste • Impact of cost cutting measures on quality of food and consumer choice. NB for a Level 3 response, candidates must consider both food suppliers and consumers in their answer. Answers must refer to the context.	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.



Question Number	Answer EXAM PAPERS PRACTICE	Mark
(b) continued	Evaluation 4 • Food suppliers may be able to increase efficiency and so remain profitable and stay in the industry. • Supermarkets may be reluctant to use their monopsony power for fear of GCA, government investigation and possible fines up to 1% of sales revenue. • Consumers may not benefit since supermarkets may not pass on lower costs in the form of lower prices. • Supermarket sector may not be a monopsony as there is more than one buyer –so perhaps less power over food suppliers. • According to Figure 2 some supermarkets may not abuse their position e.g. Aldi and Sainsbury. • Long term implications: exit of firms may risk supplies to consumers. • Consideration of bilateral monopoly e.g. large food supply firms or cooperatives. • Food suppliers may diversify e.g. farm shops. • Food suppliers may undertake vertical integration.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.



Question Number	Answer	Mark
(c)	Knowledge 2, Analysis 2, Application 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two measures (1+1) Analysis: 2 marks for linked explanation of these measures (1+1) Application: 2 marks for reference to data (1+1), e.g. • Fines - GCA can fine supermarkets up to 1% of annual revenue (1) • Regulation to ensure payments made within standard time (1) • Price regulation e.g. minimum pricing – to ensure fair prices are paid for supplies (1) /relevant diagram (1) • Promote new entrants and further competition in supermarket sector (1) • Block mergers if it leads to increased monopsony power (1) Evaluation: 2 marks for two evaluative comments, OR 2 marks for identification and linked development e.g. • Asymmetric information may lead to regulator making incorrect decisions (1) e.g. too lenient or too harsh on supermarkets (1) • Regulatory capture may arise (1) • Regulator may lack resources to investigate supermarket sector thoroughly (1) • Problems of gaining accurate information from suppliers (1) as they are reluctant to complain (1) • CMA may allow mergers (1) which increase monopsony power of supermarkets (1) • Government may counteract monopsony power by protecting farmers' income e.g. subsidies (1+1) • Problems of minimum price e.g. excess supply/food waste (1)	(8)



Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 2 • Identification of information gaps as a cause of market failure Information gaps as main cause of food waste e.g. • Food suppliers lack market information: e.g. predicting size of harvests – dependent on climate/ pest control and disease/ time lags in growing crops and raising livestock. • Supermarkets lack market information: e.g. predicting household demand – depends on tastes and fashion which may change/ population and migration changes/ impact of competitors. • Consumers lack market information: e.g. uncertainty over how to store food or whether food is fit for consumption after sell-by dates. Irrational behaviour as main cause of food waste e.g. • Computation issues e.g. consumers perceived demand may exceed actual demand for food / difficulty in comparing the different size of food products to fit with the actual amount of food required. • Habitual behaviour e.g. consumers may have a tendency to purchase more food than required/ better to have too much than too little food. • Influence of other people's behaviour e.g. consumers may purchase food that they might not want. • Impulse buying e.g. due to advertising or use of special offers. NB These points could count as Evaluation and the Evaluation points as KAA. NB A Level 3 response would typically consider both 'information gaps' and 'irrational behaviour'. NB There may be overlap between information gaps and irrational behaviour as possible causes of food waste.	(6)



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Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 • Consideration of relative proportions of food waste e.g. supermarkets appear favourable compared to food suppliers and households. • Other factors could cause food waste e.g. ➤ Misleading advertising by firms so consumers purchase food they do not want. ➤ Transport and storage problems due to road congestion / problems of importing food from overseas. • Consideration of whether it is rational to assume that consumers seek to maximise utility in allocating their expenditure / and firms seek to maximise profits in making production decisions. • Long run information gaps may narrow and irrational behaviour may reduce e.g. improved labelling and social enterprise, advice to customers on how to store food and use leftovers or use of new technology to extend freshness of food. NB These points could count as KAA and the KAA as evaluation.	(4)

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Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.



Question Number	Answer	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Problems of merger include: • CMA may block this horizontal merger since the combined firm has 27.4% market share/ exceeds the 25% legal monopoly figure. • Costs to the firms: possible diseconomies of scale such as overlap between location of stores/ co-ordination of staff/ redundancies/ implementation of new IT system (different types of diseconomies of scale may be awarded separately). • Impact of merger on consumer loyalty: the new store may not deliver consumer loyalty, for example, different brands between stores. • Lack of synergies and cultural clash • Underlying market conditions remain: consumers changing their shopping habits and merger does not address this issue. • Impact on food suppliers: increased monopsony pressure on suppliers may lead to reduced choice of food suppliers. An increased risk of GCA investigation. • Consideration of problems of other mergers and acquisitions: for example, BT takeover of EE. NB for a Level 3 response there must be reference to the context e.g. Figure 1 or Extract C.	(9)

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Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 - There may be benefits which offset the problems, such as - different types of economies of scale e.g. bulk purchase - rationalisation of stores and employees could lead to increased efficiency and profitability - increased market power - CMA could permit merger as sufficient competition still exists in the sector from online shopping and the growth of discount stores. - Prioritisation of problems with justification, for example, a lot of money could be spent on the proposed merger which is then blocked by CMA. - Short-run and long run implications: enormous upheaval in short run but sufficient cost savings could be made in long run to make it worthwhile.	(6)

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	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q2.



Question Number	Indicative content	Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge and analysis (3 marks): e.g. • Productivity must be GDP / input (or per hour worked) to have sense of output relative to input (1) sense of relative efficiency (1) • Nominal values meaning e.g. inflation is included in the figures (1) so useful firms when calculating how much revenue they have earned (1) • PPPs means e.g. that the relative cost of living is taken into account, or the figures are adjusted according to the relative purchasing power (1) • Makes comparison easier across countries (1) and time (1) and meaningful in the same currency (1) Application (2 marks for 1 point, or 1 + 1) Award valid data use only e.g. • US produces 28% more per hour (1) than the UK (1)	(5)

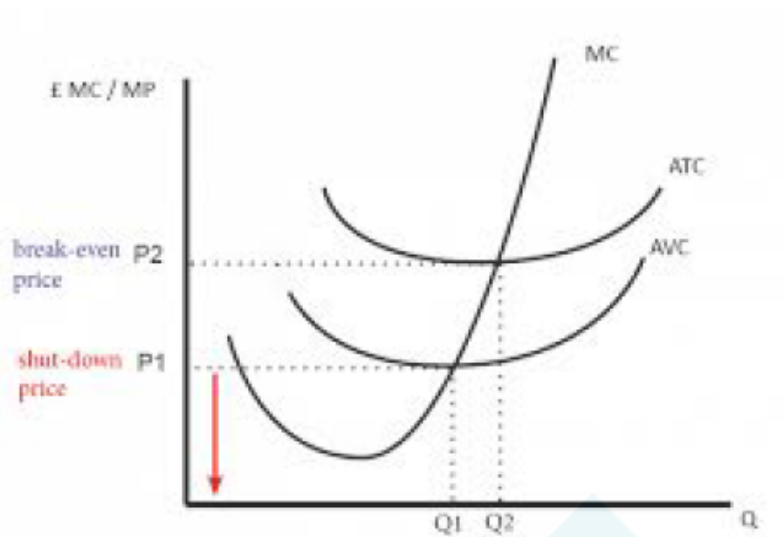
Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 Evaluation 2 Knowledge/implicit understanding of one reason • Higher employment/employment has not fallen in line with falls in GDP (productivity puzzle) • Inefficient businesses e.g. zombies • Costs of laying off workers is high e.g. labour hoarding – both in terms of severance and loss of human capital • Workers do not want to leave, because of pensions/higher living costs/lack of confidence about finding another job after the biggest crash since the 1930s • Low interest rates have meant workers can be kept on despite falling sales and output, as profits are kept positive • Later retirement age • Lack of investment/FDI in UK (1) e.g. in advanced technology (1) • Numbers in higher education NB do not award longer working hours unless clearly linked to hourly impact (Figure 4 is hourly productivity) e.g. diminishing marginal productivity. Award only the one best reason given.	



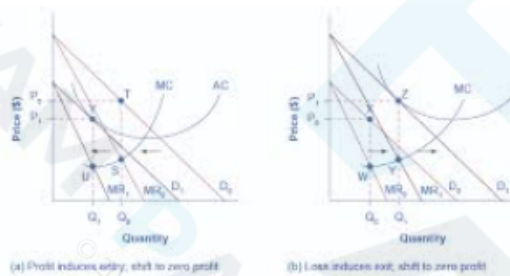
	Application: (2 or 1+1) • Use of Figure 4 to show difference between actual and potential figures • This might be shown using a PPF or AD/AS diagram (1) • Use of UK recent events e.g. financial crisis (1) • NB At least one application mark is reserved for use of Figure 4. Evaluation (2 marks for any relevant point, or two points 1 +1): • Problems in data – productivity is being measured the wrong way • Trend likely to reverse after recovery from downturn 2020/2021 • As employment falls from events in 2020 the trend might reverse (output per worker will rise if there are fewer workers) • Magnitude of productivity gap is cause for alarm • Reasons why productivity is growing in other countries – or other comment e.g. that the relative productivity (Fig 3) is more significant	(8)
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Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 Knowledge and analysis • Changing consumer trends • Higher business rates and other costs • Use of diagram to show shut down point • Explanation of diagram to explain why firms leave, e.g. $P < AVC$ • X-inefficiency in shops • Low value added shops have to compete with online Application • Competition from online • Use of Extract to give examples, e.g. Maplin could not compete with online similar products • Inflation has reduced the amount you can buy with £1 – Poundworld was not viable • These are saturated market with many new entrants • Large rental bills and higher business rates cannot be met and banks are unwilling to lend/ provide extensions to overdrafts • Falling consumer confidence	

Example of costs diagram (can use AC or ATC)



Example of revenue diagram:



NB for a level 3 response there must be at least one valid diagram. The diagram can show either a fall in AR/MR or a rise in costs, or both. The diagram also earns credit as a static diagram, but explanation of changes is still required.

(8)

**Knowledge, application and analysis**

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Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Some high street stores are doing well, e.g. coffee shops and cafes • Other regeneration of the high street is possible • Many companies are responding to threats from online by extending their online presence • Diagram might be used as part of evaluation, e.g. it depends on whether costs also fall as demand falls. Homebase is seeking lower rents (fixed costs fall). • Firms will stay in business in the short run if they are making a contribution towards fixed costs, i.e. $P > AVC$. This might be illustrated with a diagram e.g.	



Evaluation		
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Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Microeconomic policies to improve competitiveness may include: • Labour force policies e.g. changing NMW will affect ULCs • Increased level capital by making investment more profitable/subsidy • Infrastructure spending e.g. Crossrail • Investment in education/skills or cutting/capping university fees • Joint ventures with global companies e.g. Dyson Macroeconomic influences may include: • Trade liberalisation – may refer to tariffs or trade agreements to improve price competitiveness. Also award policies that are protectionist. • Tax and benefit changes e.g. corporation tax • Government policy improvements, e.g. weak expansion in fiscal policy, cut interest rates, subsidies, privatisation • Actions of other institutions e.g. banks, schools • Control of price level e.g. stop QE NB for a Level 4 response there must be micro and macro policy (s). Some factors could be seen as micro or macroeconomics, such as labour market changes, supply side policies Possible evaluation points include: • Degree to which the policies might be a success • Depends on other countries (relative competitiveness issue) • Depends on the value of the currency which cannot be directly controlled in the UK. • Depends on relationship with the EU after Brexit • opportunity costs of funds • government failure- lack of information to know where to focus funds	(25)

**Knowledge, application and analysis**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1 - 4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5 - 8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9 - 12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13 - 16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-3	Identification of evaluative comments without explanation.
Level 2	4-6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
	7-9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.



Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Microeconomic effects may include: • Loss of human capital and therefore lost incomes, consumer welfare • Firms may have unfilled vacancies. Effects on costs • Falling incomes in the UK mean reduced sales • Skills shortages may create a need for employment of migrant workers • Extra costs associated with training staff to up skill them Macroeconomic effects may include: • Shift in SRAS or LRAS might be drawn as costs of production rise, productivity worsens, capacity reduces • Effects of immigration to fill gaps in labour market • Effect on current account as UK economy becomes uncompetitive • Falling tax revenues and increased G – fiscal implications NB for a Level 4 answer there must be reference to the context of young workers in the specific country's context (UK or any other) NB for a Level 4 response there must be micro and macro effects.	

	Possible evaluation points include that the effect depends on: • Effects of Brexit may mean it is harder to fill vacancies for firms using skilled EU labour • Data may be misleading – difficult to measure human capital • Comment on the priority literacy/numeracy is vital to long term viability of workforce. Should funding increase for education? • There will always be a demand for low skilled workers • Some evidence that most UK young people are better educated 2016 data- improvements likely with reforms to KS2, GCSE and A Levels focusing more on literacy and numeracy/quantitative skills. • Some with poor literacy and numeracy have been highly successful entrepreneurs - there are famous (but statistically rare) examples!	(25)
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**Knowledge, application and analysis**

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Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
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Evaluation

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	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4 – 6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7 – 9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.



Question Number	EXAM PAPERS PRACTICE	Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge and Analysis • Definition of exchange rate: price of one currency in terms of another (1) • Possible reasons: – Reduction in QE by USA (K): likely to cause a rise in interest rates in developed economies and less demand for the currencies of emerging economies (A) – Slow-down in the Turkish economy (K): likely to cause a fall in confidence and a decrease in foreign direct investment and less demand for the currencies of emerging economies (A) Application: Reference from Figure 1: (2) 14% fall in value of the Turkish lira over the whole period	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 4 • understanding of <i>inflation</i>: general increase in the average price level Costs of inflation include: • arbitrary redistribution of income from lenders to borrowers • loss of international competitiveness of Argentine goods • uncertainty causing a fall in investment • industrial unrest: reference to impact of strike by the police • menu costs and shoe leather costs • danger of hyperinflation if the current inflation is not brought under control.	(8)



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Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 • current inflation rate may be a short-term phenomenon only • impact of competitiveness depends on inflation rates of countries that Argentina trades with • Argentine government is taking measures e.g. price controls to reduce the rate of inflation • impact on living standards depends on what is happening to wages	(4)

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	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.



Question Number		Mark
(c)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge and Analysis - Restrictions on beef exports caused a fall in demand and in the price of beef (K). In turn, this made it less profitable to produce beef. (A) (2) - Soya production becoming more profitable because of growing demand from China (K). Therefore, farmers reallocating resources from beef production to soya production. (A) (2) Application 10 million fall in the stock of cattle (over 10 years) to 48 million in 2011. - Exports accounted for 20% of beef production in 2007, but have fallen to just 7% in 2013 (2) Evaluation 2 marks for any valid point: - Some farmers may find it difficult to switch production from beef to soya because of the costs involved and/or unsuitability of the land - Farmers might think that government restrictions on beef exports may be short-term so they will not switch from beef to soya.	(8)



Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8 Evaluation 9 Microeconomic effects: • supply and demand diagram illustrating the impact of maximum prices: contraction in supply and extension of domestic demand • shortages of products subject to price controls • need for rationing • greater price stability for producers • implications for resource allocation: producers will switch resources to the production of products not covered by price controls. Macroeconomic effects: • falling export revenues from beef sales • negative impact on Argentina's balance of trade • could cause fall in the rate of economic growth • negative implications for Argentina's economic development • fall in the rate of inflation • price controls might act as an incentive for producers to diversify and/or develop manufacturing and tertiary industries.	

	Possible evaluation points include: • impact of price controls depends on how rigorously they are enforced • producers may not reallocate resources to products not subject to price controls if they believe that they will only exist for a short time • impact on the balance of trade may be minimal, e.g. because of the increase in exports of soya • impact on the rate of inflation may be limited to the short-term: once price controls are removed the rate of inflation might increase significantly	(25)
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Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
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	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning. Evaluation recognises different viewpoints and can be critical of the evidence provided.



Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Microeconomic effects: • primary producers: export revenues may fall since demand for many primary products is price inelastic • increase in costs for firms reliant on imported raw materials • increase in competitiveness for Argentine exporters of manufactured goods. Macroeconomic effects: • increase in the competitiveness of Argentine's goods and services may lead to an improvement in the current account of the balance of payments • increase in the rate of economic growth • leading to an increase in employment • cost push inflation resulting from increased costs of imported goods • increase in the real burden of foreign debt.	

	Possible evaluation points include: • impact on individual Argentine producers depends on their reliance on imports and/or exports • demand for some products, e.g. soya may not be adversely affected because demand is increasing rapidly in China • inflation is very high so any competitive advantage may be lost quickly. Impact on current account will depend on whether the Marshall-Lerner condition is fulfilled • short-run and long-run effect on the current account may be analysed using the J curve effect • the current account will only improve if the Marshall-Lerner condition is fulfilled, i.e. if the sum of the price elasticity of demands for imports and exports is greater than 1	(25)
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Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning. Evaluation recognises different viewpoints and can be critical of the evidence provided.

Q4.



Question Number	Answer	Mark
(a)	Knowledge 1, Application 1, Analysis 3 Knowledge/Understanding: (up to 1 mark) • Real price of gas and electricity refers to their price adjusted to remove the effects of inflation (1) • Increase in demand (1) • Decrease in supply. (1) • The lack of competition (1) Application: (up to 1 mark) e.g. • Figure 1 indicates the real price of gas and electricity has increased since 2004: electricity from 70 to 119 or rises 70% (accept approximations) (1) • Gas from 58 to 121 or rises by 108% (accept approximations) (1) Analysis: up to 3 marks for linked development of one reason e.g. • Rise in price (1) due to non price determinant of demand e.g. income, economic growth, population growth (1) explained using contraction in demand or extension in supply or other extended analysis of market forces (1) • Rise in price (1) due to non price determinant of supply e.g. increase in cost of production, finite resources (1) explained using contraction in demand or extension in supply or other extended analysis of market forces (1) • Energy firms have sought to increase profits (1) tacit collusion (1) provide more dividends and higher share prices for shareholders (1) directors salaries linked to profits (1) • Energy firms able to exploit consumers not behaving rationally due to: influence of other consumers (1) habitual behaviour (1) computation difficulties (1)	(5)



Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 4 • Measures referred to will increase competitiveness by removing imperfect information, addressing asymmetric information, reducing barriers to entry and exit. • Customer database will help producers to directly contact consumers to offer better deals. <i>It may encourage firms to enter the market – the extract refers to recent new entrants having a combined market share of 12% for gas and electricity. Firms may enter as they have more market knowledge of customers for each energy supplier and are permitted to contact them directly offering their service.</i> • Smart meters will increase market information for consumers on their electricity consumption so may seek better deals. <i>Scope exists to enter as 70% of domestic customers of the six largest energy firms on an expensive standard tariff. Smart meters provide more information to customers on energy usage and price / reduce issue of asymmetric information / forcing energy suppliers to become more price competitive.</i> • Price cap for vulnerable customers on pre-paid meters will help limit increases in energy bills and so offer some protection as a surrogate for competition. <i>Price cap may offer some degree of certainty over the price firms could charge / encouraging market entry.</i> • Other evidence from Extract A demonstrates that measures have been successful in the past e.g. new entrants in the market NB: Answers must relate to <i>effectiveness of measures</i> NB: Arguments that the measures are successful may be seen as KAA and unsuccessful as evaluation or vice versa	(8)



Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 • Some consumers may still not switch to cheaper energy tariffs / due to problem of computation, inertia or habit. • Customer database may lead to unintended consequences e.g. customer annoyance at telephone calls so they ignore calls, information overload resulting in making it harder to compute to make a decision. • Significant barriers to entry exist in the domestic energy market: large economies of scale/established firms have some customer loyalty / advertising costs / licences required to supply energy. • Price cap is only temporary and covers just 4 million customers / energy prices through pre-paid meters already exceed standard bills. • Price cap may discourage firms from entering the market / as less profit incentive. • Price cap may automatically become the price each company sets and so reduces competition and may increase prices. • CMA found no evidence of anti-competitive practice.	(4)



Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 - Understanding of profit cap (a limit on profits as a percentage of total revenue). Linked development: profit cap is usually introduced in industries where supernormal profits are regarded as excessive / profit cap may be necessary where little competition exists or where collusion is possible. - Chair of CMA recommended 1.25% profit cap against industry return of 7%. Linked development: profit cap is proposed in the retail sector of the energy industry which involves just marketing, billing and metering energy. - Impact on consumers: lower energy bills and so households may be better off in real terms / may increase energy consumption / domestic firms that consume energy may become more competitive due to lower costs of production / rising consumer surplus. - Impact on energy producers: lower revenue and so lower profits / less funds for investment and so risk of energy supplies in future / falling share prices and dividends / change in objective e.g. from profit maximisation to sales maximisation. NB: For Level 3 response candidates must refer to consumers and supplies NB: Negative effects on consumers and producers may be seen as KAA and positive effects as evaluation or vice versa	(6)



Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • There may be upward effects on price for consumers as firms become more x-inefficient or reduce total investment. • Depends on the level of profit cap on energy firms / how long it may be applied: if it is 1.25% it may be too harsh compared to other industries such as supermarkets. • It is a vertically integrated industry – so energy companies can make profits in the generation of electricity and gas. • Energy firms appear to have made huge profits over previous years and so may be able to cope with lower profits. • Energy firms may increase sales revenue and so profit values may still be high. • Energy suppliers experience low levels of risk in their retail operations so necessary rewards are lower. • Unintended consequences such as a reduction in new entrants to the industry and less competition, risk of power shortages due to under investment or excess demand. • Multinational owners may use transfer pricing to avoid profit cap.	(4)



Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Accept answers based on switching between electricity suppliers as well as switching from electricity to other energy sources Knowledge/Understanding: 2 marks for identification of two reasons (1+1) e.g. • It takes time for consumers to switch demand following price changes • Existing contracts make it difficult to switch in the short term • More substitutes available in the longer term Analysis: 1 mark for linked explanation of each reason (1+1) e.g. • Demand more price inelastic in short run as: takes time for consumers to adjust their consumption habits (habitual behaviour) / imperfect market information / no close substitutes. • Demand less price inelastic in long run as: some consumers are able to change their habits improved market information / substitutes may emerge such as greater use of gas appliances or installation of solar power panels.	

	Application: 2 marks for reference to data (1+1), e.g. • Idea that demand is price inelastic (1) becoming less inelastic / more elastic in the long run (1) • Use of Extract A e.g. 70% of domestic consumers do not switch (1) • Development of new technology that reduces electricity consumption / electricity saving lightbulbs or energy efficient kettles (1) • Increased awareness of measures to become more price sensitive (1) to become more energy efficient (1) • Costs and time involved in switching to energy-saving appliances (1)	
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- Improved consumer knowledge of consumption through smart meters (1)
- New firms might enter the market using gas / biofuel / solar / wind / households producing their own rather than buying electricity (1)

Evaluation: 2 marks for two evaluative comments, OR 2 marks for identification and linked development of one comment

- The figures are averages for all households – but great variation exists between households; for example, there may be no effect on households who have little concern for energy saving measures.
- High income households may not be affected by rising electricity prices as it comprises such a small part of total income – so demand remains very price inelastic.
- Some households may suffer from imperfect market knowledge in long run or cannot change their habits – so demand remains very price inelastic.
- Consideration of the magnitude of the change in elasticity (from -0.35 to -0.85); quite substantial in terms of doubling elasticity / or electricity demand still remains price inelastic in the long run as no suitable alternatives.

(8)



Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Policies may include: • Increase investment in training programmes to raise quantity and quality of human capital and productivity / increase provision of modern apprenticeship schemes / it may involve government subsidies or tax breaks to firms. • Recruit skilled workers from overseas via careers fairs and trade journals / provides a ready supply of labour. Accept policies referring to geographical mobility of labour if linked to the energy sector. • Change industry image so it appeals to more female school leavers and graduates – this may involve restructuring of careers advice / marketing programmes and information on career paths and opportunities. • Retain ageing workforce by improving working conditions and rates of pay / offer flexible working hours and part-time work / raise state retirement age; older workers have higher levels of human capital and so productivity could be increased. NB: For Level 3 response candidates must refer to at least one business policy and one government policy. NB: For Level 3 response candidates must refer to the energy sector.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.



Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • Training programmes involve (opportunity) costs to businesses and government / time period to train labour, especially in higher order technical skills / quality of training programmes. • Recruitment of skilled workers from overseas may create problems such as access to UK jobs following Brexit decision / language barriers / differences in qualifications and skills to those required / possibility of higher staff turnover if overseas workers intend to return home / family ties and high house prices may create geographical immobility of labour. • Changing energy sector image may require high levels of marketing expenditure / some jobs may not suit parents with family commitments. • Retain older workers could lead to problems of poor health and low productivity and ability to learn new tasks. Also the underlying skilled labour shortage remains – eventually older workers will retire. • Other policies to overcome labour shortage for example, new technology to substitute labour with capital, means that reducing labour immobility is not a priority.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q5.



Question Number	Answer	Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge and analysis 3 marks for identifying market structure and relevant features. Points might include: • Monopolistic competition or highly competitive (1) • Many small sellers in the market (1) • Low price setting power (1) • Firms sell differentiated goods (1) • Normal profit/low profit margins as a sign (1) of low barriers to entry/exit (1) • Allow up to 2 marks for diagrammatic analysis Application: 2 marks for data (1+1 or 2): point might include: • there are many firms 10 000 to 20 000 (1) • cheap, low skill labour are possibly migrants (1) • low level of capital required (1) • everyone paying the same £5 (1) • some offering inside and out washes (1) / similar car washing at each provider (1) • Availability of cheap premises make market entry easier (1)	(5)



Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/ implicit understanding: (1+1) marks for two reasons and explanation e.g. • HCWs are inferior goods if demand rises when incomes fall • HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods • Other factors affect demand apart from income, for e.g. availability and price of substitutes (automatic car washes [might be normal/luxury good] or car washing equipment), working patterns Application: (2 marks for any relevant point, or two points 1 +1). Points might include: • Incomes are not keeping up with inflation so real incomes are falling • HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods. • Increased demand when people have lower incomes – high level of utility at small expense, Extract A paragraph 2 • Extract B: there is a decrease in the availability of automatic car washes as independent petrol retailers go out of business. • Increased number of sites and rents have fallen (Extract A paragraph 3)	

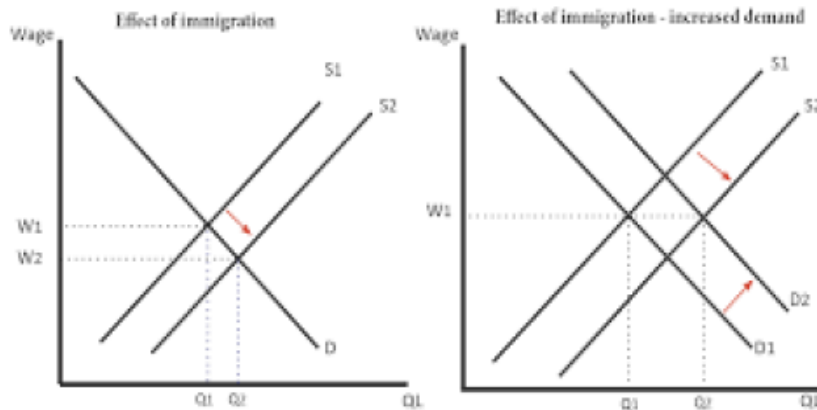
	Analysis (1 + 1): • Linked development of the two points made • Maybe shown by diagrammatic analysis Evaluation: (2 marks for any relevant point, two points 1 +1). Points might include: • Subjective happiness is yielded from an HCW, implying that it is rational to use an HCW/it is not rational as washing the car at home is cheaper when incomes fall • Incomes have not been falling over the whole period, so it is more likely that as incomes rise people are buying a HCW as a YED is low (small percentage of income) • Regional or demographic changes in incomes	(8)
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Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 Knowledge/implicit understanding: Points might include: • Increased labour supply – workers willing to take low-paid jobs • Arguments also allowed that since the UK left the EU, many workers are leaving – question does not specify immigration or emigration • Increased demand from increased UK population also allowed as an approach Application: • Immigrants the main employees at HCWs and similar labour intensive firms (Extract A) • Implication in EU that increased immigration (Extract A paragraph 4) has caused supply to increase and therefore wages half of minimum wage (Ext A last paragraph) • HCW often a first job while the migrant's language improves on arrival in the UK (Ext A) • Following UK leaving the EU many low skilled labour may leave • Workers are not able to migrate as wages are not high enough in sector to be able to migrate to post UK leaving the EU	

	Analysis: • Labour market diagram showing increase in the supply of labour • NMW diagram showing excess supply of labour at the wage floor • Allow decrease in supply, e.g. since the UK leaving the EU • Allow backward bending supply of labour • Allow monopsony diagrams (although not required) • Some segments require more skilled workers and not suit low skilled migrant workers, e.g. valeting • Reference to any industry that relies on migrant workers, e.g. hospitality, nursing, construction NB if no valid diagram or reference to an industry, then award a maximum of Level 2 KAA	(8)
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Diagram, shift in demand and/or supply, or minimum wage e.g.



Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3-5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6-8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.



Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Impact of UK leaving the EU, Global Health Crisis etc. might put immigration figures into negative, and wages and conditions might improve • Depends on monopsony power • Evidence suggests there is not exploitation, or there is not enough evidence • Some firms are charging a fair wage • Other changes in the pipeline • The size of the changes in migration will dictate the impact on labour market • The ability of workers to move to other sectors/ speed language developed will determine impact on labour market • Within HCW there are sub-markets - some specialise in luxury vehicles - others are mobile operators who visit home - each will be affected differently	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.



Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for causes of the number of firms in an industry to change. Microeconomic causes may include: • nationalisation • privatisation • contestability • market power • economies of scale – natural monopoly • regulation and deregulation • oligopoly behaviour • barriers to entry e.g. factors linked to demand- tastes- preference for HCW over automatic, income, availability of substitutes- decline in automatics	

	Macroeconomic causes may include: • economic growth – e.g. a growing market means more firms will enter • trade patterns • level of protectionism • government policies e.g. supply side policies • TNCs and FDI • unemployment (especially given recent events) • inflation- if inflation is high, costs rise and if unable to increase prices, then firms may exit the market • Level of environmental protection- adds to the costs and may reduce the number of firms. • Exchange rates - if appreciated - costs to import lower and export higher - exporters may exit the market • Relative poverty high and rising - more demand low costs HCW increasing demand and market size - more firms NB for a Level 4 response there must be micro and macro cause(s). Foreign direct investment, role of TNCs, or regulation could be seen micro or macroeconomics NB for a Level 4 response there must be reference to an industry	
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9 marks for evaluation – points might include:

- Depends on the nature of the business. Another industry could be used as a contrast, e.g. a capital intensive industry
 - Depends on the LRAC and the minimum efficient scale in the current situation
 - Changes over time – barriers to entry or exit are likely to change e.g. in the face of new technology in car wash industry or other industry
 - Exchange rates go up and down so could equally depreciate
 - Environmental protection may create more demand as it is a more ethical service and not cause the number of firms to fall
- (25)

Knowledge, application and analysis

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.



Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for effects of increased government intervention. Microeconomic effects may include: • Minimum price, living wage enforced, planning issues, tax, health and safety • Rise in wages (if wage floors introduced) will have a large impact on costs. Might be shown on increasing NMW diagram • Effect on price of car washes – consumer surplus falls, output falls, price increases • Impact on quantity of labour/marginal revenue productivity • Impact on productivity • Diagram to show the effect of the intervention approach, e.g. of minimum price as solution to market failure • Price of a car wash might be passed on to higher wages	



	Macroeconomic effects may include: • Income equality improvements – may use Gini coefficient or Lorenz curve • Prices rise – inflationary effects • reduction in levels of poverty • effects on growth – inflexibility in markets can reduce I or FDI • might improve environmental standards • Reduced employment NB for a Level 4 response there must be micro and macro effect (s). Employment or welfare issues could be seen as micro or macro, for example, can be used as either micro or macroeconomics NB for a Level 4 response there must be reference to an industry	
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	9 marks for evaluation – points might include: • Government failure, e.g. regulatory capture, asymmetric information • depends on impact of other events such as UK leaving the EU, high unemployment from recent Global Health Crisis • effect on workforce of employment regulation depends on elasticity for demand for labour, and degree with which it can be replaced with capital • depends on PED of HCW market as a whole • consumers might also have increases in wages • some firms will face decreased demand and go out of business. Loss of jobs and other economic activity • depends on the PED and PES in factor market and product market as a whole • Wash Mark Certificates not government regulation may have more of an impact in improving quality and conditions for workers and reducing pollution than government action	(25)
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**Knowledge, application and analysis**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q6.



Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge and Analysis: (up to 3 marks) • Understanding of a positive statement e.g. statement of fact that can be tested (1) • Understanding of a normative statement e.g. statement containing a value judgement (1) Further analysis of the difference (1) e.g. • a positive statement is not linked to political viewpoint • these normative statement represents the value judgement of the Prime Minister/current political party • objective v subjective • Scientific method Application: up to 2 marks 1 for positive and 1 for normative for each example from the extract Normative example (up to 1 mark) • the regulator 'should' limit the standard variable tariff (1) • offer fairer prices for customers who are paying too much (1) • 'a price cap will not be good for consumers' (1) • The market is broken (1) Positive example (up to 1 mark) • Energy bills of 11 million households will be capped (1) • Save households up to £100 (1)	(5)



Question Number	Answer	Mark
(b)	Knowledge 2, Analysis 2, Application 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two likely benefits to the consumers (1+1) e.g. • Lower prices • Improved product quality • More innovative products • Better customer service • Better bundles/packages/choice Analysis: 1 mark for linked explanation of each identified benefit (1+1) e.g. • A benefit to the consumer is cheaper prices (1K) as BT has greater purchasing power (economies of scale) OR consumers can buy more goods/services with their income OR increased consumer surplus (1An) • A benefit to the consumer is the greater availability of bundles/packages (1K) this therefore means that they can spend less overall when buying products together rather than individually on separate contracts(1An)	

	Application: 2 marks for reference the context of the BT and EE takeover (1+1), e.g. • Multi-brand strategy (1) • Mix of BT, EE and Plusnet services (1) • Greater value bundles of services (1) • Compete for their business (1) • Controlling 35% of market share (1) Evaluation: 2 marks for two evaluative comments, OR 2 marks for identification and linked development of one evaluative comment e.g. • Potential problems to the consumer ◦ Higher prices in the LR due to diseconomies/monopoly power/x-inefficiency ◦ Lack of choice as control 35% of market ◦ Restriction of new competitors ◦ Slowed pace of technology ◦ Poor customer service • Depends on the actions and behaviour of rival firms • Depends on the extent to which cost saving measures are passed on to the consumer • Depends on the degree of future regulation within the industry	(8)
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Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Information gaps as main cause of consumers failing to switch ➤ Consumers lack market information on the price of their landline bill in relation to other providers ➤ Main target audience (the elderly) lacks the knowledge to shop around online and use price comparison sites ➤ Switch to online billing and direct debit payments means many households are unaware ➤ Automatic price changes made by BT ➤ Hard to compare prices as all bundles comprise of different services ➤ Lack of awareness of competitor prices and packages	

	Irrational behaviour as main cause of consumers failing to switch ➤ Computation issues e.g. consumers do not understand their pricing structure ➤ Habitual behaviour/status quo bias/brand loyalty e.g. consumers may have a tendency to purchase the same service over time ➤ Consumers do not have the time to shop around or look for better deals ➤ Consumers want to avoid the disruption of changing provider ➤ Strong brand of BT leading to an inelastic demand Other factors could be causing this: ➤ Misleading advertising or price plans ➤ Lack of provision in all areas e.g. fibre optic or bundles ➤ Tie in contracts & automatic renewals ➤ Information overload ➤ Size of savings may not be significant enough to go through switching ➤ Line quality may vary so not similar packages/non-price considerations make BT offer the best. NB For Level 3 response candidates need at least two reasons but are not required to use both 'information gaps' and 'irrational behaviour'. NB There may be overlap between information gaps and irrational behaviour as reasons.	(6)
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Counter arguments made to the reasons raised • Significance of the reasons provided • Consideration of whether it is rational to assume that consumers seek to maximise utility in allocating their expenditure • Long run information gaps may narrow and irrational behaviour may reduce e.g. improved price plan information & actions of the regulator	(4)
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.



Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 4 BT profit levels have risen to £3.03 billion • Higher revenue due to, e.g.: - Higher rental price for landline - Price increases of 15% - Broadband calls up in price - Customers paying a higher price for setting up landline with BT - Integration with EE increasing mobile revenues - Increase in market share to 35% - Inelastic PED subject to monopoly abuse • Lower costs - Approximately 27% fall in the cost of providing the landline service - Economies of scale - Fall in fixed costs of providing extensive 'landline' network - Dynamic efficiency gains/synergy/patents acquired from merger - Fall in variable cost • Other potential reasons explained: - Exploitation of certain consumer groups - Effective use of price discrimination - Collusion with other landline providers	

	Costs and revenue diagram showing: - Original profit maximising output level - Outward shift in AR and MR - And/or – fall in AC and MC - And/or – fall in AC if FC lower - And/or Changes shown on Monopoly diagram e.g. from limit pricing to profit maximisation - Original SNP and larger new SNP area NB – For Level 3 an accurate costs and revenue diagram must be included.	(8)
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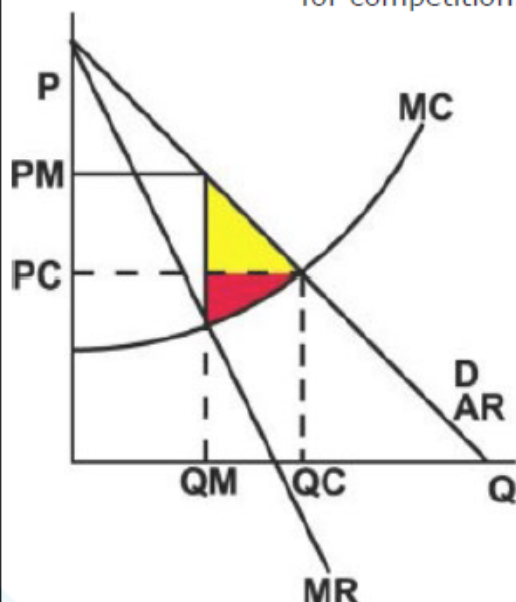
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 • Profits levels are likely to fall in the future due to the actions of the regulator and prices falling • Profits levels are likely to fall in the future as more competition enters the markets • Relative significance of points • Significance - both factors are working together to increase the extent of their profits • Not possible to say for certain due to a lack of information and data • Magnitude – 27% fall in costs likely to have a significant contribution.	(4)
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Methods of government intervention include: • Price regulation • Profit regulation • Renationalisation of industry • Performance targets • Quality standards • Providing information to enable switching • Policies to enhance competition between firms e.g. start-up grants • Policies to improve contestability and help small firms • Work of the Competition & Markets Authority regarding abuse of dominant position, anti-competitive agreements or intervening on mergers. NB for a Level 3 response there must be reference to the context of utilities. (Do not award Level 3 if no reference to the data provided or utility industries) NB for a Level 3 response there must be reference to more than one policy and the policy must refer to how it protects consumers. NB for a Level 3 response a diagram is not required but may include for example	

	Consumer Surplus with Price Ceiling Consumer surplus increases (A-B)	
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Improved allocative efficiency for consumers, surrogate for competition.



(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • Criticisms of the likely effectiveness of the policies • Awareness of the problems surrounding their implementation • Recognition that a combinations of approaches may be needed • Different industries may need differing approaches • SR v LR implications • Regulatory capture • Asymmetric information • Regulatory lag • Irrational consumer behaviour • Unintended consequences of government failure e.g lack of innovation, price increases, deteriorating customer service. NB for a Level 3 response there must be reference to the context of utilities.	(6)
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q7.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 1, Analysis 3 Knowledge and Analysis: (up to 4 marks) Correctly labelled diagram annotated to show a shift right in the supply curve (2) e.g. rise in subsidy NB: also accept a double shift right indicating an increase in subsidy. NB: also accept a rise in price, given prices annually linked to RPI, but less than it would have been. NB: 2 KAA marks are reserved for an accurate diagram	

	Explanation that subsidy increase is a rise in financial assistance OR cut in cost of production OR additional cash grant (2) Explanation that decreasing costs borne by producers is passed on to consumers as a fall in rail fares OR excess supply results in fall in rail fares (2) Application: 1 for reference to Figure 1 e.g. subsidy rises around £11 million (1) subsidy rises from £277 million to £287.9 million (1) subsidy increased by 3.9% (1)	(5)
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Question Number	Answer	Mark
(b)	Knowledge 2, Analysis 2, Application 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two non price determinants (1+1) e.g. • Change in taste and preference/quality of service • Changes in income • Price of substitute has risen/substitute less attractive • Price of complement has fallen/complement more attractive • Increased population/migration • Lower price in real terms • Lower prices – special offers/off-peak/forward booking.	

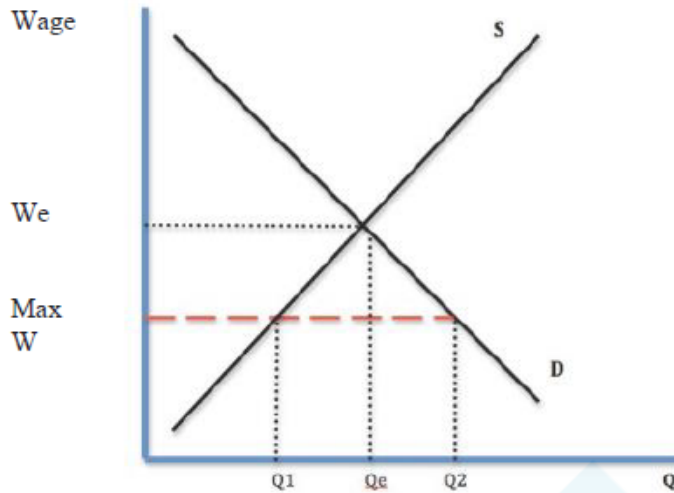
	Analysis: 1 mark for linked explanation of each identified determinant to demand increasing/shifting right (this may be shown on a diagram) (1+1) Increase in population moved to commuter areas/improvement in rail stock e.g. wifi access. Income elasticity of demand Close substitute e.g. car travel, XED >+1 Close complement e.g. on-board meal, XED >-1 Application: 2 marks for reference to Figure 2 (1+1) or other data (1), e.g. • Approximately 50 billion rail passenger kilometres per year (1) to 65 billion (1) or increased by 15 billion rail passenger kilometres per year (2) or Increased by 30% (2) • Economic recovery post 2008 crisis (1) • Cost of car travel/road congestion (1) • Quality of train meals/on board Wi-Fi access (1)	
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	Evaluation: 2 marks for two evaluative comments; OR 2 marks for identification and linked development of one evaluative comment, evaluating significance of factors or another reason as a counter-argument e.g. • Delays and cancellations (1) • Recession 2008- 2010 (1) • Car travel still cheaper/train delays and cancellations (1) • Rail meals expensive/congested trains so can't work on board (1) • Increased home working • Rail fares have risen (1)	(8)
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Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Positive effect on protection of employees: • Safety of employees maybe better protected • Trade unions will succeed in securing higher wages in negotiations with government rather than private firms. Rail employees become subject to public sector wage setting. Extension in supply of labour. • Greater job security • Improved integration between state owned rail network and rail operators resulting in rail expansion. • Reduced inequality in pay between employees. • Private sector firms may cut less profitable route whereas government will continue these routes protecting employees Negative effect on protection of employees: • 'Maximum wage on executive managers pay' may be implemented – causing shortages with specialist managers • Nationalisation may not 'provide a wider choice'/quality resulting in lower levels of employment • Lack of funds for investment from the government may reduce the long-term attractiveness of railways causing service to be cut in future	

NB: Allow relevant diagram e.g.



NB: Negative effects can be seen as KAA and positive effects as evaluation or vice versa.

NB: for a Level 3 response there must be reference to the context of nationalisation of the rail industry.

NB: for a Level 3 response there must be reference to the effect on employees.

(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3-4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5-6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.



Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Limited effect since many train operators such as East Coast now in the public sector • Rail usage which increased under privatisation may decline causing suppliers profits and employees wages to decline • Public or private sector ownership may make no difference to executive managers pay • Wages may not increase faster under state ownership compared to private sector. • Level of personnel could be cut substantially under nationalisation if the government has to make spending cuts. • Wages may not increase faster under state ownership compared to private sector. NB: Negative effects can be seen as KAA and positive effects as evaluation or vice versa. NB: for a Level 2 response there must be reference to employees in context.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 4 Case for rail network being a natural monopoly - Define natural monopoly - Application – rail network was renationalised in 2001 after privatisation in 1993 promised competition. Need for integrated national rail network of 32 000km for 2 500 stations, requires enormous investment. - Large infrastructure cost means adding one more passenger or one more train means AC continues to fall. - Little additional costs associated with an additional customer or train running. - Operating one rail track minimises average costs, rail network's LRAC continues to fall as high fixed costs associated with laying track and building new stations. - Allocative efficiency is met at close to large share of market demand. Minimum efficiency scale will require large subsidies to fund off peak services and cover losses. - Average cost would be very high for having two or more rail companies with wasteful duplication of multiple tracks – resulting in higher rail fares. - Allow relevant diagram e.g.	

AC Output Only one rail network company can fully exploit large internal economies of scale – technical, commercial, managerial. NB: Case for can be seen as KAA and positive case against as evaluation or vice versa.	(8)
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Question Number	Indicative content	Mark
(d) continued	Evaluation 4 Case for rail network not being a natural monopoly • Government support for competition: "companies can bid to build new rail lines to upgrade the railway." • Train operating companies already compete to run trains on lines • Rail lines and stations could be leased out to competing firms • Potential diseconomies of scale in rail infrastructure – managerial slack, closure of rail lines. • Technological advances may result in competing rail lines. NB: Case for can be seen as KAA and positive case against as evaluation or vice versa.	(4)



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Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Price discrimination – charging different prices to different groups of consumers for the same service e.g. 16-25 railcard users vs adult fare users. Allow peak and off-peak as service from A to B is the same, price discrimination just provides an incentive to travel slightly later. • Lower rail fares for 16-25 year olds Young persons' may increase their consumer surplus as a result – prices may move towards being more allocatively efficient $P=MC$. May find bargain fares - £35.80 cheaper as in Figure 3. Allows lower income groups to consume service – seek employment. • More choice for rail travellers: Price discrimination enables TOCs to make more revenue so they can cross subsidise and provide discount fares for seats that would not have been taken. In some cases without price discrimination rail operators may go out of business – preventing rail travel.	

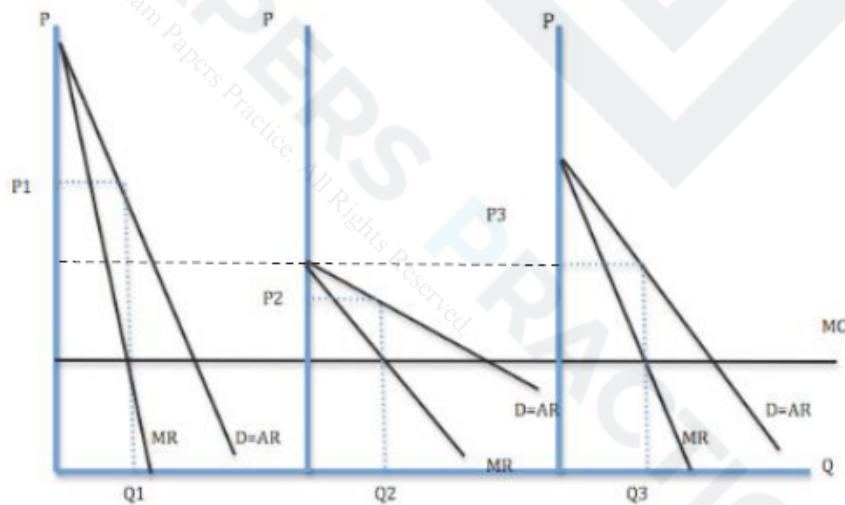
- **Avoids overcrowding**

Train operators can use price discrimination to manage demand, preventing overcrowded train in peak travel times and encouraging rail travel by 16-25 year olds in less popular times off peak.

- **Improved customer service**

Rail travellers receive a better-quality travelling experience thanks to additional revenue raised through price discrimination. Investment in new trains, station services, online ticketing, customer information, Improved food and drink service, Wi-Fi access, seating and storage space.

- **Price discrimination diagram** showing, for example:
Market profit maximising price and output P3 and Q3. At which no service would be provided for 16-25 year old customers. Price discrimination enables a lower price of P2 (£69.50) for young persons' – so consumer surplus increases for consumers with relatively more price elastic demand



NB: Other correct diagrams accepted.

NB: For Level 3 a valid diagram such as above is required. Analysis must link to benefits to consumers. Allow other types of rail fare price discrimination e.g advance booking, Senior Railcard, 16-17 year olds half price travel.

(9)



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Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • Rail operators are price regulated so not pure price makers • Cuts in number of guards may mean adults travel illegally. • Higher rail fares for adults £105.30 in Figure 3 (£35.80 more than 16-25 year olds) resulting in fall in consumer surplus and less allocatively efficient pricing. Overall consumer surplus may be lower. • Despite price discrimination consumers are suffering train cancellations and government is having to rescue rail operators making large losses. • Overcrowding happens on off peak trains – so government/rail operators have no incentive to continue offering young persons' discount. • Deteriorating customer service despite price discrimination. Rail operators using additional revenue to pay out dividends or executive pay rises. • Are rail operators/government aware of PEDs for different groups of consumers.	(6)



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